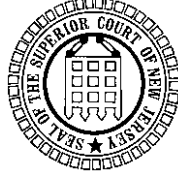


Superior Court of New Jersey
 General Equity Division; Chancery
 Middlesex County Superior Court
 56 Paterson Street
 New Brunswick, NJ 08903
 (732) 645-4300, ext. 88242



FILED

October 29, 2024

Judge Lisa M. Vignuolo

DEUTSCHE BANK NATIONAL TRUST
 COMPANY, AS TRUSTEE FOR SOUNDVIEW
 HOME LOAN TRUST 2006 EQ2 ASSET-
 BACKED CERTIFICATES, SERIES 2006-EQ2,

Plaintiff,

v.

SHUJA AHMED, et al.,

Defendants.

SUPERIOR COURT OF NEW JERSEY
 CHANCERY, GENERAL EQUITY
 MIDDLESEX COUNTY
 DOCKET NO.: F-8641-23

ORDER

THIS MATTER having been opened to the Court upon the application of Brock & Scott, PLLC, attorneys for Plaintiff, for an Order for Summary Judgment; and the Court having considered the moving papers, the opposition thereto and the reply brief, and having heard the arguments of counsel for Plaintiff, Naser Selmanovic, Esq., and counsel for Defendant, Richard Obuch, Esq., and for good cause shown,

IT IS on this 29th day of October, 2024, **ORDERED** as follows:

1. Plaintiff's motion is hereby **GRANTED**.
2. This Order shall be deemed served on all attorneys of record upon its upload to E-Courts.

/s/ Lisa M. Vignuolo, P.J.Ch.
 HONORABLE LISA M. VIGNUOLO, P.J.Ch.

PURSUANT TO THE ATTACHED STATEMENT OF REASONS

STATEMENT OF REASONS

**DEUTSCHE BANK NATIONAL TRUST COMPANY, AS TRUSTEE FOR SOUNDVIEW
HOME LOAN TRUST 2006 EQ2 ASSET-BACKED CERTIFICATES, SERIES 2006-EQ2**

v. SHUJA AHMED, et al.

Docket No.: MID F-8641-23

PLAINTIFF’S MOTION FOR SUMMARY JUDGMENT IN FORECLOSURE

I. PROCEDURAL HISTORY

On July 18, 2023, Plaintiff, Deutsche Bank National Trust Co. (“**Plaintiff**”), as trustee for Soundview Home Loan Trust 2006 EQ2 Asset-backed Certificates, Series 2006-EQ2, filed its Foreclosure Complaint against Defendant, Shuja Ahmed (“**Defendant**”).

For background, on October 11, 2006, Defendant executed a Note to Equifirst Corporation to secure the sum of \$525,350.00, payable on November 1, 2036, with the initial rate of interest of 8.050% per annum, payable by payments of \$3,873.16 per month for interest and principal. The Note was secured by a Mortgage on certain real property at 3 Winchester Court, Old Bridge, New Jersey 07747 (the “**Property**”). The Mortgage was subsequently assigned to Plaintiff on April 25, 2008. Further, the Note contains an acceleration clause, and Defendant has failed to make payment on October 1, 2021, and all payments thereafter. On September 26, 2023, default was entered.

On October 9, 2023, Defendant filed a motion to Vacate the entry of Default. On October 10, 2023, Plaintiff filed a motion to reform the Mortgage. On November 3, 2023, the Court granted Plaintiff’s Motion to Vacate Default. On December 12, 2023, the Court granted Defendant’s motion to reform the Mortgage. On March 6, 2024, Plaintiff filed an Amended Complaint. On May 2, 2024, Defendant filed a Contesting Answer.

Now before the Court is Plaintiff’s Motion for Summary Judgment.

II. PRESENT MOTION

On September 26, 2024, Plaintiff filed the instant Motion for Summary Judgment. Plaintiff argues it has standing to foreclose resulting from Defendant's default in payment beginning on October 1, 2021, because it is the holder of the Note, evidenced by Plaintiff's certification demonstrating possession of the Note and Mortgage. See Plaintiff's Certification of Juliana Thurab. Plaintiff continues that Defendant's Answer must be dismissed or deemed uncontested because it fails to comply with the Court's pleading requirements by lacking specific denials of Plaintiff's claims as required by R. 4:5-3 and evidentiary proof to establish that any of Defendant's alleged defenses apply.

Further, Plaintiff contends that Defendant's claims regarding the amount due cannot be considered a defense to the instant motion or underlying foreclosure action. Citing R. 4:64-1(c), Plaintiff asserts that "a challenge by the mortgagor to the asserted amount due does not constitute a contesting answer for the purposes of this rule." Metlife v. Washington Ave. Assoc., 159 N.J. 484 (1999). Plaintiff concludes that Defendant's general allegations do not constitute a contesting answer or genuine issue of material fact to prevent entry of Summary Judgment.

III. OPPOSITION

On October 14, 2024, Defendant filed an opposition to Plaintiff's Motion for Summary Judgment. Defendant argues that Plaintiff lacks standing to foreclose because Plaintiff does not have a filed copy of the assignment of the Note and Mortgage.

Next, Defendant contends that Plaintiff failed to effectuate proper service by conducting same at the Property instead of Defendant's new address on file with the mortgage company. In addition, Defendant asserts that Plaintiff violated N.J.S.A. 2A:50-56 of the Fair Foreclosure Act

because Plaintiff's Notice of Intent to Foreclose was not sent to Defendant's current address listed with the mortgage company.

Defendant cites Weichert Co. Realtors v. Ryan, 128 N.J. 427 (1985), and states that a claim for unjust enrichment can arise when one party confers a benefit on another, and it would be inequitable for the recipient to retain the benefit without compensating the conferring party. Defendant alleges that Plaintiff is guilty of unjust enrichment by filing 1099-C forms in 2015 and 2020 with the Internal Revenue Service ("IRS") as an attempt to forgive Defendant's debts and is therefore estopped from pursuing foreclosure. See In re Read, 492 B.R. 261 (Bankr. E.D. Tenn. 2013), further see McGill v. Bank of America, N.A. No. 15-14116 (11th Cir. 2016).

IV. REPLY

On October 21, 2024, Plaintiff filed a reply. Plaintiff argues that the 1099-C form issued in 2020 reflects the amount of the loan that was to be forgiven through loan modification and that Defendant has failed to produce evidence and supporting law that Defendant's debt is not collectable due to the issuance of 1099-C forms. See Plaintiff's Certification of Juliana Thurab, Exhibit D.

Plaintiff asserts that it has established standing to foreclose through physical possession of the true, original Note and because it is the mortgagee of record through a recorded assignment of the Mortgage. Citing Bank of New York v. Raftogianis, 418 N.J. Super. 323 (Ch. Div. 2010), Plaintiff states that New Jersey Courts have established that a foreclosure plaintiff has standing to foreclose if that party is a party entitled to enforce the Note under the Uniform Commercial Code. Plaintiff contends that it has standing to enforce the Note because N.J.S.A. § 12A:3-201(a) provides that for a person other than the one to whom a negotiable instrument is made payable to become the "holder, there must be a negotiation," which requires transfer of the possession of the

instrument and its endorsement by the holder. N.J.S.A. § 12A:3-201(a)-(b). Plaintiff states that an instrument may have a special endorsement, meaning that it is endorsed to an identified person, or an instrument may be endorsed in blank, meaning that the instrument becomes payable to the bearer and may be negotiated by transfer of possession alone until specially endorsed. N.J.S.A. § 12A:3-205(a)-(b).

Plaintiff argues the person in possession of an instrument that is endorsed in blank is the “holder of the instrument” and entitled to enforce it. Plaintiff states that regardless of the endorsement, the transfer of possession of the note vests in the transferee the transferor’s right to enforce the instrument. N.J.S.A. § 12A:3-205(b). Plaintiff emphasizes that it tendered a copy of the original Note, to which Plaintiff has certified possession and control of it prior to the inception of the present case. See Plaintiff’s Exhibit A and Plaintiff’s Certification of Michael Lebron. Further, Plaintiff contends that it has standing because it is the mortgagee of record through an assignment of the Mortgage recorded on May 14, 2008, in Book 01003, Page 0231. Plaintiff argues that standing is conferred by “possession of the note or an assignment of the mortgage that predated the original complaint.” Deutsche Bank Tr. Co. Arns. V. Angeles, 428 N.J. Super. 315, 318 (App. Div. 2012)(citing Deutsche Bank Nat’l Tr. Co. v. Mitchell, 422 N.J. Super. 214, 216 (App. Div. 2011)).

In addition, Plaintiff alleges that after it was unable to locate Defendant, it complied with Court rules to publish the Notice of the Amended Complaint and mail a Notice to Absent Defendant to the subject Property. Plaintiff contends that Defendant clearly had knowledge of the action and was able to file a Contesting Answer and participate in the action. Plaintiff cites R. 4:6-3 and states that any defense of lack of jurisdiction over the person, insufficiency of process, or insufficiency of service of process must be raised by way of a motion within 90 days of the service

of the Answer, or else they are deemed waived. R. 4:6-3 and R. 4:6-7. Plaintiff claims more than 150 days have passed since the filing of Defendant's Answer and Defendant has improperly raised the defense of insufficient service of process in his opposition to Summary Judgment.

Plaintiff continues that Defendant's assertion that the Notice of Intent to Foreclose was not sent to Defendant's known address is incorrect. Plaintiff states that under N.J.S.A. § 2A:50-56, the Fair Foreclosure Act requires service of the Notice of Intent to Foreclose to both the property address and the last known address. Plaintiff claims that it has complied with the mailing requirements to both the Property, all other identified possible addresses provided by Servicers and by obtaining a good faith investigation to ascertain the whereabouts of the Defendant. See Plaintiff's Certification of Juliana Thurab. Plaintiff requests that the Court strike Defendant's Answer, dismiss all affirmative defenses and return the case to the Office of Foreclosure to proceed with Final Judgment as an uncontested matter.

V. RULE

a. Summary Judgment

On a motion for summary judgment, the moving party must show that, based on all the evidence, "there is no genuine issue as to any material fact challenged and that the moving party is entitled to a judgment or order as a matter of law." R. 4:46-2(c). Once the movant has made a *prima facie* showing, the burden shifts to the adverse party to "[set] forth specific facts showing that there is a genuine issue for trial." R. 4:46-5(a). An issue of fact is genuine where, drawing all reasonable inferences in favor of the non-moving party, "the evidence . . . would require submission of the issue to the trier of fact." R. 4:46-2(c). See also Brill v. Guardian Life Ins. Co. of Am., 142 N.J. 520, 529 (1995) ("[W]here the party opposing summary judgment points only

to disputed issues of fact that are ‘of an insubstantial nature,’ the proper disposition is summary judgment.”).

“Conclusory and self-serving assertions by one of the parties are insufficient to overcome” a motion for summary judgment. Puder v. Buechel, 183 N.J. 428, 440-41 (2005). See also Vizzoni v. B.M.D., 459 N.J. Super. 554, 578-79 (App. Div. 2019) (Plaintiff’s expert reports were “pure speculation and conjecture” and insufficient to create a genuine factual dispute). “Competent opposition requires ‘competent evidential material’ beyond mere ‘speculation and fanciful arguments.’” Hoffman v. Asseenontv.com, Inc., 404 N.J. Super. 415, 426 (App. Div. 2009) (quoting Merchs. Express Money Order Co. v. Sun Nat’l Bank, 374 N.J. Super. 556, 563 (App. Div. 2005)). “Bare conclusions in the pleadings without factual support” and “bare conclusory assertions in an answering affidavit are insufficient to defeat a meritorious application for summary judgment” Brae Asset Fund LP v. Newman, 327 N.J. Super. 129, 134 (App. Div. 1999).

b. Foreclosures

Where a debt is evidenced by a negotiable instrument, such as a note, UCC Article III governs. See Wells Fargo Bank, NA v. Ford, 418 N.J. Super. 592, 587 (App. Div. 2011). Where a negotiable instrument is secured by a mortgage, any “person entitled to enforce” under UCC § 3-301 has standing to foreclose. Id. “A lender’s right to foreclose is an equitable right inherent in a mortgage, triggered by a borrower’s failure to comply with the terms and conditions of the associated loan.” Inv. Bank v. Torres, 475 N.J. Super. 53, 65 (App. Div. 2018).

“The purpose of a foreclosure action is to determine the right to foreclose and the amount due on the mortgage.” Central Penn Nat’l Bank v. Stonebridge, Ltd., 185 N.J. Super. 289, 302 (Ch. Div. 1982). The “only material issues” in a foreclosure proceeding are (1) the validity of the mortgage, (2) the amount of indebtedness, and (3) the mortgagee’s right to foreclose. Great Falls

Bank v. Pardo, 263 N.J. Super. 388, 394 (Ch. Div. 1993) (citing Stonebridge, 185 N.J. Super. at 302).

VI. ANALYSIS

On a motion for summary judgment, the moving party must show that, based on all the evidence, “there is no genuine issue as to any material fact challenged and that the moving party is entitled to a judgment or order as a matter of law.” R. 4:46-2(c). Once the movant has made a *prima facie* showing, the burden shifts to the adverse party to “[set] forth specific facts showing that there is a genuine issue for trial.” R. 4:46-5(a). An issue of fact is genuine where, drawing all reasonable inferences in favor of the non-moving party, “the evidence . . . would require submission of the issue to the trier of fact.” R. 4:46-2(c). See also Brill v. Guardian Life Ins. Co. of Am., 142 N.J. 520, 529 (1995) (“[W]here the party opposing summary judgment points only to disputed issues of fact that are ‘of an insubstantial nature,’ the proper disposition is summary judgment.”). Likewise, “the purpose of a foreclosure action is to determine the right to foreclose and the amount due on the mortgage.” Central Penn Nat’l Bank v. Stonebridge, Ltd., 185 N.J. Super. 289, 302 (Ch. Div. 1982). The “only material issues” in a foreclosure proceeding are (1) the validity of the mortgage, (2) the amount of indebtedness, and (3) the mortgagee’s right to foreclose. Great Falls Bank v. Pardo, 263 N.J. Super. 388, 394 (Ch. Div. 1993) (citing Stonebridge, 185 N.J. Super. at 302).

Before the Court is Plaintiff’s Motion for Summary Judgment in foreclosure. Plaintiff has sufficiently demonstrated that there is no genuine dispute of material fact regarding the validity of the Mortgage, the amount of indebtedness and Deutsche Bank’s right to foreclose. First examining the right to foreclose, where a negotiable instrument is secured by a mortgage, any “person entitled to enforce” under UCC § 3-301 has standing to foreclose. See Wells Fargo Bank, NA v. Ford, 418

N.J. Super. 592, 587 (App. Div. 2011). “A lender’s right to foreclose is an equitable right inherent in a mortgage, triggered by a borrower’s failure to comply with the terms and conditions of the associated loan.” Inv. Bank v. Torres, 475 N.J. Super. 53, 65 (App. Div. 2018). Here, Plaintiff has established physical possession and control over the Note and Mortgage through the Certification of Juliana Thurab, wherein Ms. Thurab states Plaintiff acquired the original promissory Note and Mortgage on May 1, 2019, and remains in possession. Further, Plaintiff is the mortgagee of record evidenced through an assignment of the Mortgage recorded on May 14, 2008, in Book 01003, Page 0231.

In addition, Plaintiff has established the validity of the Mortgage. Plaintiff was assigned the Mortgage by Equifirst Corporation prior to the commencement of the present action and the underlying mortgage and loan documents were duly executed and are thus enforceable. Further, Plaintiff has sufficiently demonstrated the amount of indebtedness. It is undisputed that Defendant has failed to make any payments since October 1, 2021. Defendant vaguely claims that Plaintiff’s issuance of an IRS 1099-C form in 2020 prevents Plaintiff from pursuing foreclosure because certain sums of the unpaid debt were forgiven. Plaintiff states that the 1099-C from issued in 2020 reflects the amount of the loan that was to be forgiven through the Mortgage Modification Agreement that required Defendant to make a first payment on February 1, 2020. See Plaintiff’s Certification of Juliana Thurab and Plaintiff’s Exhibit D. Here, Plaintiff has successfully demonstrated that there is no genuine issue of material fact remaining for trial regarding (1) the validity of the Mortgage, (2) the amount of indebtedness, and (3) Plaintiff’s right to foreclose.

Finally, Plaintiff has established that Defendant’s allegations regarding insufficient service are meritless. Specifically, Plaintiff submits the Certification of Juliana Thurab wherein Ms. Thurab details that on April 14, 2024, Plaintiff mailed by certified mail and regular mail the Notice

of Intent to Foreclose to Defendant at the Property. See Plaintiff's Certification of Juliana Thurab, ¶ 10. Further, In Plaintiff's Certification of Kim Smith, Ms. Smith describes Plaintiff's prior efforts to serve Defendant, beginning that a private process server attempted to personally serve the Amended Complaint and Summons to the Property, but the return indicated that the location of Defendant is unknown. See Plaintiff's Certification of Kim Smith, ¶ 2. Next, Ms. Smith certifies that Plaintiff later obtained a possible address of Defendant at 45 Woodland Avenue, Apt. 35, Summit, N.J., and a process server attempted to personally serve the papers but once again indicated that Defendant's location is unknown. Id. at ¶ 3 and 4. Subsequently, the Servicer provided another possible address of Defendant at 1 Lincoln Avenue, Apt. 1B, Summit, N.J., and a process server attempted service, but indicated that the location of Defendant remains unknown. Id. at ¶ 5 and 6.

Following Plaintiff's three attempts to serve Defendant, Plaintiff searched the Lexis Nexis Death Records and database, which reflected the last known address of Defendant being the mortgaged Property and an absence of proof of the death of Defendant. Id. at ¶ 7 and 8. On April 9, 2024, Plaintiff provided service by publication in the Home News Tribune and on April 10, 2024, Plaintiff mailed the Amended Complaint to Defendant at the Property. Id. at ¶ 10 and 11. As stated supra, on April 14, 2024, Plaintiff mailed by certified mail the Notice to Intent to Foreclose to Defendant at the Property. See Plaintiff's Certification of Juliana Thurab, ¶ 10. The Court finds that Plaintiff has complied with the service requirements and rejects Defendant's claim of improper service.

VII. CONCLUSION

Plaintiff's Motion for Summary Judgment is **GRANTED**.